

Contestant Number: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS (265)

STATE – 2020

Multiple Choice & Short Answer Section:

True/False (20 @ 2 points each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ **(100 points)**

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (60) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

1. Answer the objective questions using the Scantron scoring sheet provided.
(OR electronically if available)
2. Your name or initials should NOT appear on any work you submit. Use your contestant number.
3. If you complete the event before the end of the time allotted, notify the proctor. Time could be considered a factor in determining a winner when there is a tie score.

PART 1 – OBJECTIVE QUESTIONS – True/False

True or False Instructions: Mark “A” if the statement is TRUE. Mark “B” if the statement is FALSE.

1. The threat of immediate harm or offensive contact is termed as disparagement.
A. TRUE
B. FALSE
2. “Tort” is the Latin word for “wrongful.”
A. TRUE
B. FALSE
3. The U.S. President is responsible for making federal law.
A. TRUE
B. FALSE
4. The U.S. Food and Drug Administration is authorized to obtain orders for the recall and seizure of certain products.
A. TRUE
B. FALSE
5. Disputes often arise because the principal and agent did not specify how much the agent would be paid.
A. TRUE
B. FALSE
6. If an employer does not pay unemployment taxes, a state government can place a lien on the business’s property to secure the debt.
A. TRUE
B. FALSE
7. A state court of limited jurisdiction that conducts proceedings related to the settlement of a deceased person’s estate is probate court.
A. TRUE
B. FALSE
8. Under the UCC, if a contract does not designate the place of delivery for the goods, then the goods must be made available to the buyer at the seller’s place of business.
A. TRUE
B. FALSE
9. The U.S. Constitution limits the government's ability to restrict individual rights.
A. TRUE
B. FALSE
10. In civil law, a prohibited act is referred to as the *actus reus*.
A. TRUE
B. FALSE

11. Michael takes his truck to Casey's Service Garage and asks him to fix the truck's wheel bearing. Casey completes the work and sends Michael a bill for \$100. Michael refuses to pay so Casey refuses to return Michael's truck to him. Michael can sue Casey for emotional distress.
A. TRUE
B. FALSE
12. Linda Smith is a common shareholder in Kendall's Baseball Bat Corporation. As a common shareholder, Linda is guaranteed regular payments of dividends.
A. TRUE
B. FALSE
13. Patent infringement may also occur even though not all features or parts of an invention are copied.
A. TRUE
B. FALSE
14. The purchase or sale of securities on the basis of information that has not been made available to the public is considered insider trading.
A. TRUE
B. FALSE
15. Interrogatories are written questions for which written answers are prepared and then signed under oath.
A. TRUE
B. FALSE
16. Obvious exaggerations is considered deceptive advertising and is highly illegal.
A. TRUE
B. FALSE
17. A standard mortgage with an unchanging rate of interest is classified as an adjustable rate mortgage.
A. TRUE
B. FALSE
18. Business ethics focus on what constitutes right or wrong behavior in the business world.
A. TRUE
B. FALSE
19. A written type of defamatory statement is called "slander."
A. TRUE
B. FALSE
20. Stock is an ownership interest in a corporation, measured in units of shares.
A. TRUE
B. FALSE

PART 2 – OBJECTIVE QUESTIONS – Multiple Choice

Multiple Choice Instructions: Select the letter of the answer that best answers the question or completes the statement.

21. _____ is a special court in which parties can litigate some claims without an attorney.
- A. Family Court
 - B. Minimal
 - C. Civil Court
 - D. Small Claims Court
22. In the federal court system, there are _____ U.S. courts of appeals.
- A. sixteen
 - B. thirteen
 - C. eight
 - D. ten
23. Compliance with Title VII is monitored by the _____.
- A. U.S. Supreme Court
 - B. Title VII Governance Commission
 - C. Americans with Disabilities Act
 - D. Equal Employment Opportunity Commission
24. The _____ has the power to impeach the president for certain activities, such as treason, bribery, and other crimes.
- A. House of Representatives
 - B. U.S. Constitution
 - C. U.S. Supreme Court
 - D. U.S. Senate
25. When several contractors combine their resources to build and sell house in a single development, their relationship is considered a _____.
- A. joint venture
 - B. limited partnership
 - C. sustainable business venture
 - D. limited liability collaboration
26. A _____ is the minimum number of members of a body of officials or other group which must be present in order for business to be validly transacted.
- A. twenty five percent attendance
 - B. gaggle
 - C. group of less than 1/3 of all directors
 - D. quorum
27. Section 5 of the Securities Act of 1933 indicates a security must be _____ before being offered to the public unless it qualifies for an exemption.
- A. bonded
 - B. registered
 - C. authorized
 - D. approved

28. A _____ allows an inventor exclusive right to make, use, and sell an invention in the United States for a specified time period.
- A. copyright
 - B. patent
 - C. trademark
 - D. intellectual property certificate
29. _____ is the fraudulent appropriation of funds or other property by a person who was entrusted with the funds or property.
- A. Civil larceny
 - B. Financial appropriation
 - C. Embezzlement
 - D. Theft
30. The _____ is a legal principle that allows minors to cancel most contracts they have entered into with adults.
- A. hold harmless
 - B. infancy doctrine
 - C. minor mistake clause
 - D. minor covenant
31. Instruments that say nothing about when payment is due are payable _____.
- A. within 1 business week
 - B. within 5 business days
 - C. within 10 days
 - D. on demand
32. If a bank is both the drawer and the drawee with regard to a draft, then the draft is a _____.
- A. non-negotiable document
 - B. certificate of deposit
 - C. cashier's check
 - D. internal check
33. A contract is a(n) _____ if the offeror's promise is answered with the offeree's promise of acceptance.
- A. normal contract
 - B. unilateral contract
 - C. business contract
 - D. bilateral contract
34. Land, as well as buildings, trees, soil, minerals, timber, plants, and other things permanently affixed to the land are known as _____.
- A. assets
 - B. real property
 - C. business property
 - D. personal property

35. Timothy is selling his used car. He wants to disclaim any implied warranties. Timothy _____.
A. should write a warranty and list what is not included
B. is unable to disclaim implied warranties
C. should include a written disclaimer the car is being sold "as is"
D. can verbally indicate there is not a warranty
36. _____ is a tort related to defective products in which the defendant has breached a duty of due care and caused harm to the plaintiff.
A. Negligence
B. Disparagement
C. Battery
D. Fraud
37. Bonnie files a lawsuit against Rita in a state trial court and loses. Bonnie _____.
A. has no options, the decision is final
B. can plead her case before an appellate court
C. can refile the suit and have it run through the process again
D. can have the US Supreme Court hear the case
38. If a person deposits \$20,000 with River Valley State Bank on April 1, 2020. River Valley State Bank promises to repay the person the original \$20,000 plus 4% annual interest on April 1, 2025. River Valley State Bank has issued the person a _____.
A. basic savings account
B. certificate of deposit
C. promissory note
D. cashier's check
39. An order by a bank customer to his or her bank not to pay or certify a specific check is called a _____.
A. Stale Check Order
B. Refusal to Pay Order
C. Stop-Payment Order
D. Overdraft Order
40. To file an ordinary or straight bankruptcy, a person should file using _____.
A. Chapter 11
B. Chapter 7
C. Chapter 13
D. Chapter 5
41. A _____ is someone who invests capital but does not participate in management.
A. limited partner
B. general partner
C. dual partner
D. controlling partner

42. A(n) _____ is a document that sets forth the rights and duties of general and limited partners.
- A. certificate of registration
 - B. limited trade affidavit
 - C. limited partnership agreement
 - D. certificate of limited partnership
43. A corporation in the state in which it was formed is referred to as a(n) _____.
- A. state corporation
 - B. foreign corporation
 - C. limited corporation
 - D. domestic corporation
44. To form an LLC, _____ must be filed with a central state agency, usually the secretary of state's office.
- A. a board of trustees form
 - B. articles of organization
 - C. a certificate of limited partnership
 - D. LLC Action Form
45. The New Ross Corporation requires its employees to have a high school diploma, claiming a definite connection between a high school education and job performance. In a suit against The New Ross Corporation under Title VII, this requirement is shown to have a discriminatory effect. The employer has _____.
- A. a business necessity defense
 - B. no defense
 - C. educational requirement defense
 - D. a bona fide occupational qualification defense
46. A(n) _____ is the means given to a party to enforce a right or to compensate for the violation of a right.
- A. precedent
 - B. remedy
 - C. adjudication
 - D. stare decisis
47. A detailed set of rules adopted by the board of directors after a corporation is incorporated that contains provisions for managing a corporation are referred to as _____.
- A. articles of incorporation
 - B. rules of the board
 - C. bylaws
 - D. *ultra vires* rules

48. The signed appointment form or electronic transmission authorizing another person to vote the stockholders shares in a certain manner is called a _____.
A. the bylaws
B. quorum
C. share transfer
D. proxy
49. A _____ is an agreement that requires a selling shareholder to offer his or her shares for sale to the other parties to the agreement before selling them to anyone else.
A. share sales agreement
B. shareholder sales agreement
C. right of first refusal
D. *ultra vires* rules
50. Treating employees or job applicants unequally on the basis of race, color, national origin, religion, gender, age, or disability is considered to be _____.
A. allowed if there is just cause
B. ratification
C. employment discrimination
D. vesting